

Q2 KPI DEFINITIONS AND REPORTING POLICY

Alder Ridge Mechanical | Effective for the 2026-06-30 close

Scope and authority

This policy applies to Q2 board, lender, investor, and management reporting. Executed agreements control lender definitions; signed presentation policy controls investor measures; controller-reviewed close workpapers control reported results; approved planning records control plan and forecast comparisons; and Vista ERP remains the system of record for posted Alder Ridge balances.

Reporting bases

Basis	Permitted use	Authority
Reported	June and Q2 actual results	Controller-reviewed close and posted ledger
Plan	Actual-to-plan comparison	Approved Q2 plan
Current outlook	Management forecast	Latest approved forecast by status and as-of date
Public guidance	External range and release decision	Signed guidance record
Lender	Leverage and fixed-charge coverage	Executed credit agreement
Investor	Adjusted, organic, and comparable measures	Signed KPI presentation policy

Version treatment

A record marked current approved governs its stated period. Superseded and working-copy records remain part of the audit trail but do not replace the current basis. Preserve the source unit before conversion, and identify the period and basis whenever the same measure appears in more than one record.

MEASURE DEFINITIONS AND RELEASE GOVERNANCE

Core KPI definitions

Free cash flow is operating cash flow less capital expenditure for the same period. Organic growth removes the policy-defined acquisition or disposal amount from the current comparative numerator and uses the approved prior-year comparable. Do not substitute EBITDA conversion for cash flow or mix lender and investor definitions.

Lender measures

Net leverage uses posted funded debt and LTM adjusted EBITDA on the executed agreement basis. Fixed-charge coverage uses LTM adjusted EBITDA over cash interest, cash taxes, maintenance capital expenditure, and distributions. Unrestricted cash is shown separately unless the agreement expressly permits netting.

Outlook, guidance, and actions

Keep the current management outlook, internal scenario analysis, and public guidance distinct. The active approved record governs its stated use until it is superseded. Preserve the signed direction, probability, status, period, and source authority of each risk record; rank downside drivers by probability-weighted EBITDA impact.

Present supported and risk-adjusted action views separately. Do not recognize prospective actions in reported actuals or combine separate action programs without dated support and documented activation. Apply the governing release threshold to the supported recommendation and identify any remaining evidence or approval boundary.

Presentation controls

Show reported, adjusted, organic, plan, outlook, guidance, and covenant measures under their own labels. Preserve units and periods, reconcile bridges without plugs, identify the controlling source, and disclose open support with an owner and next review point. Narrative wording cannot change the underlying accounting classification or approval status.

Reporting source index

Reporting area	Controlling record
June and Q2 actuals	Controller-reviewed close schedules tied to Vista ERP through 2026-06-30
Plan and outlook	Approved Q2 plan and the current approved forecast identified by status and as-of date
Liquidity and lender measures	Vista ERP balance sheet and the executed credit agreement
Investor and organic measures	Signed KPI presentation policy and the comparability schedule
Guidance and management actions	Active guidance record, approved scenario and risk records, dated operating evidence, and signed governance policy